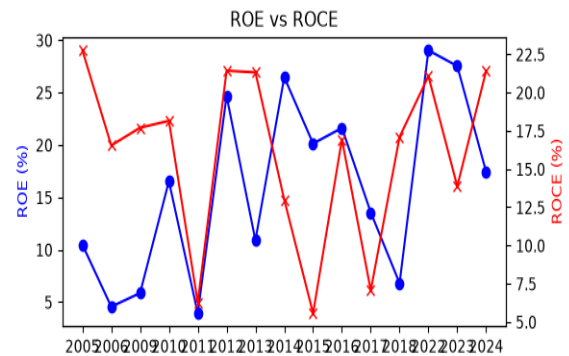
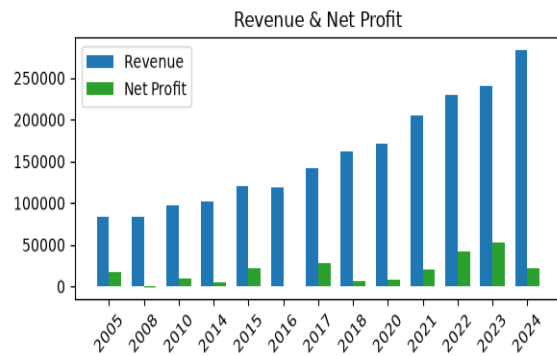
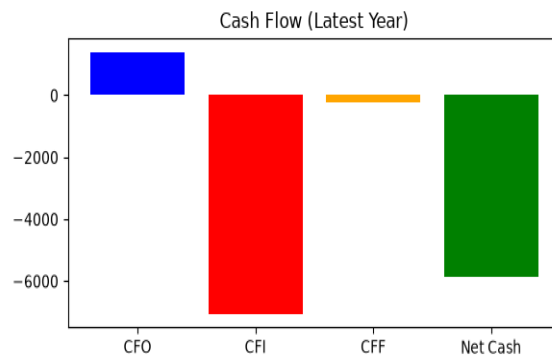
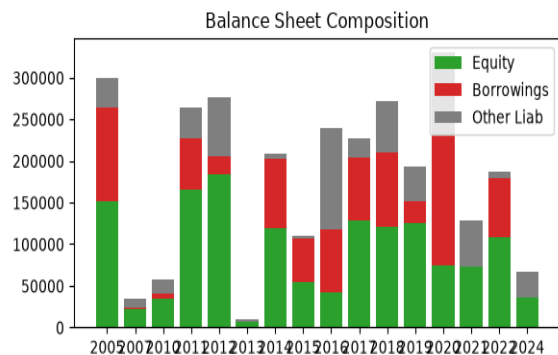


# Oil & Natural Gas Corporation Ltd (ONGC)

|         |                 |            |                |     |       |
|---------|-----------------|------------|----------------|-----|-------|
| Revenue | Rs. 284047.2 Cr | Net Profit | Rs. 21141.5 Cr | OPM | 14.7% |
| ROE     | 17.4%           | ROCE       | 21.4%          | D/E | 1.09  |





## Capital Allocation Pattern: Deleveraging

### Pros:

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons:

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability